

Special Notice

SUBJECT* Carefusion Alaris Software Support | NCO 4, Services 3

GENERAL INFORMATION

CONTRACTING OFFICE'S ZIP CODE*	15215
SOLICITATION NUMBER*	36C24425Q0551
RESPONSE DATE/TIME/ZONE	04-15-2025 10:00 EASTERN TIME, NEW YORK, USA
ARCHIVE	7 DAYS AFTER THE RESPONSE DATE
RECOVERY ACT FUNDS	N
PRODUCT SERVICE CODE*	DA10
NAICS CODE*	513210
CONTRACTING OFFICE ADDRESS	Department of Veterans Affairs Network Contracting Office 4 1010 Delafield Road Pittsburgh PA 15215
POINT OF CONTACT*	Contract Specialist Haley Snyder haley.snyder@va.gov

ADDITIONAL INFORMATION

AGENCY'S URL
URL DESCRIPTION
AGENCY CONTACT'S EMAIL ADDRESS
EMAIL DESCRIPTION

Special Notice

DESCRIPTION

Intent To Sole Source

The Department of Veterans Affairs, Network Contracting Office 4 (NCO4) intends to sole source with CareFusion Solutions, LLC. for Software Support Services for Government owned BD Alaris Guardrails System at the Philadelphia VA Medical Center. The period of performance is a base period of one-year and four one-year option periods, starting on 06 June 2025 and ending 05 June 2030.

The objective of this sole source award is for a firm fixed price contract for software support services and licenses as well as required onsite visit(s) with CareFusion Solutions, LLC., 3750 Torrey View CT., San Diego, CA 92130. This sole source determination is in accordance with FAR 13.106-1 (b) Soliciting from a Single Source.

The North American Industry Classification System (NAICS) code for this procurement is: 513210, Software Publishers. The Small Business Administration (SBA) size standard is: \$47.0 Million. The PSC code is: DA10, IT and Telecom – Business Application/Application Development Software As A Service.

This notice of intent to sole source is not a request for quotes. Interested vendors that believe it can meet the requirements must respond no later than 04/15/2024 by 10:00 AM EST. Interested vendors must send a capability statement, no more than one to three page(s) in length; to include Company Name, UEI Number, Socioeconomic Category, brief description of your business entities capability to provide these services. Supporting evidence must be furnished in sufficient detail to demonstrate the ability to perform the requirements and must include **relevant** corporate experience along with the applicable contract number, total contract dollar amount, contract period of performance, details of the relevant services and customer point of contact with corresponding telephone number and email address. Vendors shall indicate if they are the direct supplier of the items.

All information shall be provided at no cost or obligation to the Government. Responses must be sent via email to the Contract Specialist, Haley Snyder, E-mail: haley.snyder@va.gov. Facsimile or telephonic responses will not be accepted.

Please include in the email Subject Line: 36C24425Q0551- OR CareFusion Software Support and Services – Philadelphia VA.

Simply responding as an “interested party” does not constitute your company as a source. Offeror must provide the above requested information.

A determination by the Government not to compete this proposed contract based on responses to this notice is solely within the discretion of the Government.

Statement of Work

A. GENERAL GUIDANCE

1. Title: Software Support Services for Government owned BD Alaris Guardrails System.
2. Scope of Work: The contractor shall provide software support services for government owned BD Alaris Guardrails System required by the requirements stated herein. The equipment is located at the following locations:

VA Philadelphia Medical Center
3900 Woodland Ave
Philadelphia, PA 19104
3. Background: This contract is issued to ensure the continuous reliability of the BD Alaris Guardrails Server System. This equipment requires software licenses, support, and services by trained personnel. This system provides the VA Philadelphia Medical Center's alaris drug library which is utilized with the hospital fleet alaris infusion pumps. These infusion pumps deliver and control drug delivery for a variety of clinical procedures throughout the VA Medical Center. The reliable and accurate operation of this system is critical to the health and safety of patients.
4. Performance period: Base year plus four one-year option periods.
5. Type of Contract: Firm-fixed-price.

B. GENERAL REQUIREMENTS

1. This agreement includes software support services and licenses for the BD Alaris Guardrails System for continuous reliability. The server is temporarily hosted virtually at VA Wilkes-Barre Medical Center. This agreement does not cover services for the individual BD Alaris Infusion Pumps and Modules, only software support of the server infrastructure and the licenses needed for the system.
 - a. Software:
 - i. Software patches and quality updates/upgrades are included under the terms of this contract and shall be applied in accordance with manufacturer specifications. Software upgrades shall be scheduled and performed during normal hours of coverage.
 - b. Remote Service:
 - i. The contractor must be able to provide technical remote support as needed by phone to the equipment owned by VA Philadelphia.
 - ii. Personnel with OEM equipment training will respond directly by phone or remotely as deemed appropriate for the situation.
 - c. Hours of Coverage:

- i. The contractor will provide all required services during hours 5:00 AM to 5:00 PM (PST), Monday through Friday.
- ii. Services required outside these hours are not authorized by the VA and must be agreed upon in writing with an appropriate purchase order request. All service requests exceeding the requirements stated herein must be approved through Biomedical Engineering prior to performing.

Note: Any hardware/software update/upgrade installations shall be scheduled and performed during normal hours of coverage at the VA Medical Center (on-site) at no additional charge to the government.

- iii. Federal Holidays Observed by the VA Medical Center

New Year's Day,

Martin Luther King, Jr. Day,

President's Day (Washington's birthday),

Memorial Day ,

Independence Day,

Labor Day,

Columbus Day,

Veterans Day,

Thanksgiving Day,

Christmas Day,

and any other day specifically designated by the President of the United States.

- d. Customer Notification:

- i. All vendor mobile media devices (USB drives, CDs, DVDs, etc.) must be scanned by Biomed before use.
- ii. When the service(s) is/are completed, the FSE shall document the services rendered on a legible ESR(s) per Section E.
- iii. The FSE shall be required to check out with the Biomedical Engineering Department and submit the ESR(s) to the Technical Point of Contact (POC). All ESRs shall be submitted to the equipment user for an "acceptance signature" and to the Technical POC for an "authorization signature." If the Technical POC is unavailable, a signed accepted copy of the ESR will be sent to the Technical POC within five business days of work completion.
- iv. FAILURE TO COMPLY, EITHER IN WHOLE OR IN PART, WITH EITHER THE NOTIFICATION OR ESR REQUIREMENTS WILL BE DEEMED SIGNIFICANT NON-COMPLIANCE WITH THE CONTRACT AND MAY BE JUSTIFICATION FOR TERMINATION OF THE CONTRACT.

C. DEFINITIONS/ACRONYMS:

1. **Biomedical Engineering - Supervisor or designee, Phone Number (215) 823-5800 x5829**
2. **CO - Contracting Officer.**
3. **Technical POC – Technical Point of Contact**
4. **PM - Preventive Maintenance Inspection. Services which are periodic in nature and are required to maintain the equipment in such condition that it may be operated in accordance with its intended design and functional capacity with minimal incidence of malfunction or operative conditions. Service shall consist of calibration and testing in accordance with the manufacturer's latest established service procedures to ensure operation of equipment within manufacturers or VA's performance specifications, whichever is the most rigorous. PM includes cleaning, inspecting lubricating and testing all equipment. All equipment shall be operated at least one complete operating cycle at the end of each PM.**
5. **FSE - Field Service Engineer. A person who is authorized by the contractor to perform maintenance (corrective and/or preventive) services on the VA Medical Center premises.**
6. **ESR - Vendor Engineering Service Report. A documentation of the services rendered for each incidence of work performance under the terms and conditions of the contract.**
7. **Acceptance Signature - VAPHI employee who indicates FSE demonstrated service conclusion/status and user has accepted work as complete/pending as stated in ESR.**
8. **Authorization Signature – Contracting Officer signature; indicates CO accepts work status as stated in ESR.**
9. **NFPA - National Fire Protection Association.**
10. **CDRH - Center for Devices and Radiological Health.**
11. **VAPHI - Department of Veterans Affairs Philadelphia Medical Center.**
12. **OEM - Original Equipment Manufacturer**
13. **CEU – Continuing Education Credit**

D. CONFORMANCE STANDARDS:

Contractor shall provide services and material to ensure that the equipment functions in conformance with the latest requirements of NFPA-99, TJC, NEC, OSHA, HIPAA, Federal and VA security specifications and requirements as applicable. The equipment shall be maintained such that it meets or exceeds the performance specifications as established in the OEM's technical specifications. Additional performance specifications that exceed the OEM specifications shall be specified in writing by the VA.

E. DOCUMENTATION/REPORTS:

The documentation will include equipment down time and detailed descriptions of the scheduled and unscheduled maintenance procedures performed, including replaced parts and prices (for outside normal working hour services) required to maintain the equipment in accordance with conformance standards. Such documentation shall meet the guidelines as set forth in the Conformance Standards. ESR's must also be emailed to vhaphibiomedicalservicereports@va.gov, with the Vendor Name and contract Obligation Number listed in the Subject Line. In addition, each ESR must at a minimum document the following data legibly and in complete detail:

1. Name of Contractor
2. Name of FSE who performed services.
3. Contractor Service ESR Number/Log Number.
4. Date, Time (starting and ending), Hours-On-Site for service call.
5. VA Purchase Order Number(s) (if any) covering the call, if outside normal working hours.
6. Description of Problem Reported by Technical POC/User.
7. Identification of Equipment to be serviced to include the following: Equipment ID #
or EE# from the bar-code, Manufacturer's Name, Device Name, Model#, Serial #, and any other Manufacturer's identification numbers.
8. Itemized Description of Service(s) Performed (including Costs associated with after normal working hour services), including Labor and Travel, Parts (with part numbers) and Materials and Circuit Location of problem/corrective action.
9. Total Cost to be billed.
10. Signatures from the following:
 - a. FSE performing services described.
 - b. VA Employee who witnessed service described.
11. Equipment downtime calculated in accordance with Conformance Standards.

Note: Any additional charges claimed must be approved by the CO before service is started.

F. SCHEDULE FOR DELIVERABLES

Draft copies of deliverables shall be provided to Biomedical Engineering staff at VAPHI. If a final copy can be provided at that time, then a draft copy is not necessary, final copies must be provided within 5 business days of the time of each deliverable.

G. CHANGES TO STATEMENT OF WORK

Any changes to this SOW shall be authorized and approved only through written correspondence from the CO. A copy of each change will be kept in a project folder along with all other products of the project. Costs incurred by the contractor through the actions of parties other than the CO shall be borne by the contractor.

H. CONDITION OF EQUIPMENT:

The contractor accepts responsibility for the equipment described in this scope of work, in "as is" condition. Failure to inspect the equipment prior to contract award will not relieve the contractor from performance of the requirements of this contract.

I. CONTRACTOR EXPERIENCE REQUIREMENTS

1. Each respondent must have an established business, with an office and full-time staff. The staff includes a "fully qualified" FSE and a "fully qualified" FSE who will serve as the backup.
2. Fully Qualified" is based upon training and on experience in the field. For training, the FSE(s) shall have successfully completed a formalized training program, for the equipment or similar equipment identified in Section B.1a. To be valid, the training shall be completed within the last 2 years, or a certificate of the original training program and a recent class completion (on equipment identified in Section B.1a) to certify FSE's continual education must be provided. For field experience, the FSE(s) shall have a minimum of two years of experience, with respect to scheduled and unscheduled preventive and remedial maintenance on equipment.
3. The FSE(s) shall be authorized by the contractor to perform the maintenance services as required. All work shall be performed by "Fully Qualified" competent FSEs. The contractor shall provide written assurance of the competency of their personnel and a list of credentials of approved FSEs for each make and model the contractor services at VAPHI. The CO may authenticate the training requirements, request copies of training certificates or credentials from the contractor at any time for any personnel who are servicing or installing any VAPHI equipment. The CO and/or the Technical POC specifically reserve the right to reject any of the contractor's personnel and refuse them permission to work on the VAPHI equipment.
4. Any Contractor personnel must provide a copy of 1) Tuberculosis (Tb) vaccination documentation, 2) flu vaccination documentation and 3) copy of HIPAA compliance training certificate.

J. CONFIDENTIALITY AND NONDISCLOSURE:

It is agreed that:

1. The preliminary and final deliverables, and all associated working papers, application source code, and other material deemed relevant by VA which have been generated by the contractor in the performance of this task order, are the exclusive property of the U.S. Government and shall be submitted to the CO at the conclusion of the task order.
2. The CO will be the sole authorized official to release, verbally or in writing, any data, draft deliverables, final deliverables, or any other written or printed materials pertaining to this task order. No information shall be released by the contractor. Any request for information relating to this task order, presented to the contractor, shall be submitted to the CO for response.
3. Press releases, marketing material, or any other printed or electronic documentation related to this project, shall not be publicized without the written approval of the CO.

K. CONTRACTOR PERSONNEL SECURITY REQUIREMENTS

1. GENERAL. This entire section applies to all acquisitions requiring any Information Security and Privacy language. Contractors, contractor personnel, subcontractors and subcontractor personnel will be subject to the same federal laws, regulations, standards, VA directives and handbooks, as VA personnel regarding information and information system security and privacy.

2. VA INFORMATION CUSTODIAL LANGUAGE. This entire section applies to all acquisitions requiring any Information Security and Privacy language. a. The Government shall receive unlimited rights to data/intellectual property first produced and delivered in the performance of this contract or

order (hereinafter “contract”) unless expressly stated otherwise in this contract. This includes all rights to source code and all documentation created in support thereof. The primary clause used to define Government and Contractor data rights is FAR 52.227-14 *Rights in Data – General*. The primary clause used to define computer software license (not data/intellectual property first produced under this contractor or order) is FAR 52.227-19, *Commercial Computer Software License*.

b. Information made available to the contractor by VA for the performance or administration of this contract will be used only for the purposes specified in the service agreement, SOW, PWS, PD, and/or contract. The contractor shall not use VA information in any other manner without prior written approval from a VA Contracting Officer (CO). The primary clause used to define Government and Contractor data rights is FAR 52.227-14 *Rights in Data – General*.

c. VA information will not be co-mingled with any other data on the contractor’s information systems or media storage systems. The contractor shall ensure compliance with Federal and VA requirements related to data protection, data encryption, physical data segregation, logical data segregation, classification requirements and media sanitization.

d. VA reserves the right to conduct scheduled or unscheduled audits, assessments, or investigations of contractor Information Technology (IT) resources to ensure information security is compliant with Federal and VA requirements. The contractor shall provide all necessary access to records (including electronic and documentary materials related to the contracts and subcontracts) and support (including access to contractor and subcontractor staff associated with the contract) to VA, VA’s Office Inspector General (OIG

and/or Government Accountability Office (GAO) staff during periodic control assessments, audits, or investigations.

e. The contractor may only use VA information within the terms of the contract and applicable Federal law, regulations, and VA policies. If new Federal information security laws, regulations or VA policies become applicable after execution of the contract, the parties agree to negotiate contract modification and adjustment necessary to implement the new laws, regulations, and/or policies.

f. The contractor shall not make copies of VA information except as specifically authorized and necessary to perform the terms of the contract. If copies are made for restoration purposes, after the restoration is complete, the copies shall be destroyed in accordance with VA Directive 6500, VA Cybersecurity Program and VA Information Security Knowledge Service.

g. If a Veterans Health Administration (VHA) contract is terminated for default or cause with a business associate, the related local Business Associate Agreement (BAA) shall also be terminated and actions taken in accordance with VHA Directive 1605.05, Business Associate Agreements. If there is an executed national BAA associated with the contract, VA will determine what actions are appropriate and notify the contractor.

h. The contractor shall store and transmit VA sensitive information in an encrypted form, using VA-approved encryption tools which are, at a minimum, Federal Information Processing Standards (FIPS) 140-2, Security Requirements for Cryptographic Modules (or its successor) validated and in conformance with VA Information Security Knowledge Service requirements. The contractor shall transmit VA sensitive information using VA approved Transport Layer Security (TLS) configured

with FIPS based cipher suites in conformance with National Institute of Standards and Technology (NIST) 800-52, Guidelines for the Selection, Configuration and Use of Transport Layer Security (TLS) Implementations.

i. The contractor's firewall and web services security controls, as applicable, shall meet or exceed VA's minimum requirements.

j. Except for uses and disclosures of VA information authorized by this contract for performance of the contract, the contractor may use and disclose VA information only in two situations: (i) in response to a qualifying order of a court of competent jurisdiction after notification to VA CO (ii) with written approval from the VA CO. The contractor shall refer all requests for, demands for production of or inquiries about, VA information and information systems to the VA CO for response.

k. Notwithstanding the provision above, the contractor shall not release VA records protected by Title 38 U.S.C. § 5705, Confidentiality of medical quality-assurance records and/or Title 38 U.S.C. § 7332, Confidentiality of cert

medical records pertaining to drug addiction, sickle cell anemia, alcoholism or alcohol abuse or infection with Human Immunodeficiency Virus (HIV). If the contractor is in receipt of a court order or other requests for the above-mentioned information, the contractor shall immediately refer such court order or other requests to the VA CO for response.

l. Information made available to the contractor by VA for the performance or administration of this contract or information developed by the contractor in performance or administration of the contract will be protected and secured in accordance with VA Directive 6500 and Identity and Access Management (IAM) Security processes specified in the VA Information Security Knowledge Service.

m. Any data destruction done on behalf of VA by a contractor shall be done in accordance with National Archives and Records Administration (NARA) requirements as outlined in VA Directive 6300, Records and Information Management, VA Handbook 6300.1, Records Management Procedures, and applicable VA Records Control Schedules.

n. The contractor shall provide its plan for destruction of all VA data in its possession according to VA Directive 6500 and NIST 800-88, *Guidelines for Media Sanitization* prior to termination or completion of this contract. If directed by the Technical POC/CO, the contractor shall return all Federal Records to VA for disposition.

o. Any media, such as paper, magnetic tape, magnetic disks, solid state devices or optical discs that is used to store, process, or access VA information that cannot be destroyed shall be returned to VA. The contractor shall hold the appropriate material until otherwise directed by the Technical POC or CO. Items shall be returned securely via VA-approved methods. VA sensitive information must be transmitted utilizing VA-approved encryption tools which are validated under FIPS 140-2 (or its successor) and NIST 800-52. If mailed, the contractor shall send via a trackable method (USPS, UPS, FedEx, etc.) and immediately provide the Technical POC/CO with the tracking information. Self-certification by the contractor that the data destruction requirements above have been met shall be sent to the Technical POC/CO within 30 business days of termination of the contract.

p. All electronic storage media (hard drives, optical disks, CDs, back-up tapes, etc.) used to store, process or access VA information will not be returned to the contractor at the end of lease, loan, or trade-in. Exceptions to this paragraph will only be granted with the written approval of the VA CO.

3. ACCESS TO VA INFORMATION AND VA INFORMATION SYSTEMS. This section applies when any person requires access to information made available to the contractor by VA for the performance or administration of this contract or information developed by the contractor in performance or administration of the contract.

a. A contractor/subcontractor shall request logical (technical) or physical access to VA information and VA information systems for their employees and subcontractors only to the extent necessary to perform the services specified in the solicitation or contract. This includes indirect entities, both affiliate of contractor/subcontractor and agent of contractor/subcontractor.

b. Contractors and subcontractors shall sign the VA Information Security Rule of Behavior (ROB) before access is provided to VA information and information systems (see Section 4, Training, below). The ROB contains the minimum user compliance requirements and does not supersede any policies of VA facilities or other agency components which provide higher levels of protection to VA's information or information systems. Users who require privileged access shall complete the VA elevated privilege access request processes before privileged access is granted.

c. All contractors and subcontractors working with VA information are subject to the same security investigative and clearance requirements as those of VA appointees or employees who have access to the same types of information. The level and process of background security investigations for contractors shall be in accordance with VA Directive and Handbook 0710, *Personnel Suitability and Security Program*. The Office of Human Resources and Administration/Operations, Security and Preparedness (HRA/OSP) is responsible for these policies and procedures. Contract personnel who require access to classified information or information systems shall have an appropriate security clearance. Verification of a Security Clearance shall be processed through the Special Security Officer located in HRA/OSP. Contractors shall conform to all requirements stated in the National Industrial Security Program Operating Manual (NISPOM).

d. All contractors and subcontractors shall comply with conditions specified in VAAR 852.204-71(d); Contractor operations required to be in United States. All contractors and subcontractors working with VA information must be permanently located within a jurisdiction subject to the law of the United States or its Territories to the maximum extent feasible. If services are proposed to be performed abroad the contractor must state where all non-U.S. services are provided. The contractor shall deliver to VA a detailed plan specifically addressing communications, personnel control, data protection and potential legal issues. The plan shall be approved by the Technical POC/CO in writing prior to access being granted.

e. The contractor shall notify the Technical POC/CO in writing immediately (no later than 24 hours) after personnel separation or occurrence of other causes. Causes may include the following:

(1) Contractor/subcontractor personnel no longer has a need for access to VA information or VA information systems.

(2) Contractor/subcontractor personnel are terminated, suspended, or otherwise has their work on a VA project discontinued for any reason.

(3) Contractor believes their own personnel or subcontractor personnel may pose a threat to their company's working environment or to any company-owned property. This includes contractor-owned assets, buildings, confidential data, customers, employees, networks, systems, trade secrets and/or VA data.

(4) Any previously undisclosed changes to contractor/subcontractor background history are brought to light, including but not limited to changes to background investigation or employee record.

(5) Contractor/subcontractor personnel have their authorization to work in the United States revoked.

(6) Agreement by which contractor provides products and services to VA has either been fulfilled or terminated, such that VA can cut off electronic and/or physical access for contractor personnel.

f. In such cases of contract fulfillment, termination, or other causes; the contractor shall take the necessary measures to immediately revoke access to VA network, property, information, and information systems (logical and physical) by contractor/subcontractor personnel. These measures include (but are not limited to): removing and then securing Personal Identity Verification (PIV) badges and PIV – Interoperable (PIV-I) access badges, VA-issued photo badges, credentials for VA facilities and devices, VA-issued laptops, and authentication tokens. Contractors shall notify the appropriate VA Technical POC/CO immediately to initiate access removal.

g. Contractors/subcontractors who no longer require VA accesses will return VA-issued property to VA. This property includes (but is not limited to): documents, electronic equipment, keys, and parking passes. PIV and PIV-I access badges shall be returned to the nearest VA PIV Badge Issuance Office. Once they have had access to VA information, information systems, networks and VA property in their possessions removed, contractors shall notify the appropriate VA Technical POC/CO.

4. TRAINING. This entire section applies to all acquisitions which include section 3. a. All contractors and subcontractors requiring access to VA information and VA information systems shall successfully complete the following before being granted access to VA information and its systems:

(1) VA Privacy and Information Security Awareness and Rules of Behavior course (Talent Management System (TMS) #10176) initially and annually thereafter.

(2) Sign and acknowledge (electronically through TMS #10176) understanding of and responsibilities for compliance with the Organizational Rules of Behavior, relating to access to VA information and information systems initially and annually thereafter; and

(3) Successfully complete any additional cyber security or privacy training, as required for VA personnel with equivalent information system or information access [to be defined by the VA program official and provided to the VA CO for inclusion in the solicitation document – i.e., any role-based information security training].

b. The contractor shall provide to the Technical POC/CO a copy of the training certificates and certification of signing the Organizational Rules of Behavior for each applicable employee within five days of the initiation of the contract and annually thereafter, as required.

c. Failure to complete the mandatory annual training is grounds for suspension or termination of all physical or electronic access privileges and removal from work on the contract until such time as the required training is complete.

5. SECURITY INCIDENT INVESTIGATION. This entire section applies to all acquisitions requiring any Information Security and Privacy language.

a. The contractor, subcontractor, their employees, or business associates shall immediately (within one hour) report suspected security / privacy incidents to the VA OIT's Enterprise Service Desk (ESD) by calling (855) 673-4357 (TTY: 711). The ESD is OIT's 24/7/365 single point of contact for IT-related issues. After reporting to the ESD, the contractor, subcontractor, their employees, or business associates shall, within one hour, provide the Technical POC/CO the incident number received from the ESD.

b. To the extent known by the contractor/subcontractor, the contractor/ subcontractor's notice to VA shall identify the information involved and the circumstances surrounding the incident, including the following:

(1) The date and time (or approximation of) the Security Incident occurred.

(2) The names of individuals involved (when applicable).

(3) The physical and logical (if applicable) location of the incident.

(4) Why the Security Incident took place (i.e., catalyst for the failure).

(5) The amount of data belonging to VA believed to have been compromised.

(6) The remediation measures the contractor is taking to ensure no future incidents of a similar nature.

c. After the contractor has provided the initial detailed incident summary to VA, they will continue to provide written updates on any new and relevant circumstances or facts they discover. The contractor, subcontractor, and their employees shall fully cooperate with VA or third-party entity performing an independent risk analysis on behalf of VA. Failure to cooperate may be deemed a material breach and grounds for contract termination.

d. VA IT contractors shall follow VA Handbook 6500, Risk Management Framework for VA Information Systems VA Information Security Program, and VA Information Security Knowledge Service guidance for implementing an Incident Response Plan or integrating with an existing VA implementation.

e. In instances of theft or break-in or other criminal activity, the contractor/subcontractor must concurrently report the incident to the appropriate law enforcement entity (or entities) of jurisdiction, including the re.VA OIG, and the VA Office of Security and Law Enforcement. The contractor, its

employees, and its subcontractors and their employees shall cooperate with VA and any law enforcement authority responsible for the investigation and prosecution of any possible criminal law violation(s) associated with any incident. The contractor/subcontractor shall cooperate with VA in any civil litigation to recover VA information, obtain monetary or other compensation from a third party for damages arising from any incident, or obtain injunctive relief against any third party arising from, or related to, the incident.

- f. The contractor shall comply with VA Handbook 6500.2, *Management of Breaches Involving Sensitive Personal Information*, which establishes the breach management policies and assigns responsibilities for the oversight, management and reporting procedures associated with managing of breaches.
- g. With respect to unsecured Protected Health Information (PHI), the contractor is deemed to have discovered a data breach when the contractor knew or should have known of breach of such information. When a business associate is part of VHA contract, notification to the covered entity (VHA) shall be made in accordance with the executed BAA.
- h. If the contractor or any of its agents fails to protect VA sensitive personal information or otherwise engages in conduct which results in a data breach involving any VA sensitive personal information the contractor/subcontractor processes or maintains under the contract; the contractor shall pay liquidated damages to the VA as set forth in clause [852.211-76, Liquidated Damages—Reimbursement for Data Breach Costs](#).

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